e) TC curve lies above the TFC curve

f) TVC and TC curves are the same shapes but beginning point is different.

4.4.4 Average Fixed Cost (AFC)

It refers to the fixed cost per unit of output. It is obtained by dividing the total fixed cost by the quantity of output. AFC = TFC / Q where, AFC denotes average fixed cost, TFC denotes total fixed cost and Q denotes quantity of output. For example, if TFC is 1000 and the quantity of output is 10, the AFC is ₹ 100, obtained by dividing ₹ 1000 by 10. AFC is shown in table 4.4 and diagram 4.4.

Table 4.4 Average Fixed Cost

Q (in unit)	TFC (in ₹)	AFC TFC/Q (in ₹)
0	1000	1000/0 = ∞
1	1000	1000/1 = 1000
2	1000	1000/2 = 500
3	1000	1000/3 = 333
4	1000	1000/4 = 250
5	1000	1000/5 = 200

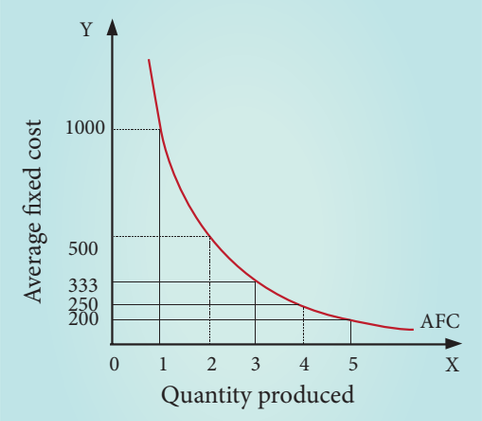


Diagram 4.4

It is to be noted that

a. AFC declines as output increases, as fixed cost remains constant

b. AFC curve is a downward sloping throughout its length, never touching X and Y axis. It is asymptotic to both the axes.

c. The shape of the AFC curve is a rectangular hyperbola.

4.4.5 Average Variable Cost (AVC)

Table 4.5 Average Variable Cost

Q (in unit)	TVC (in ₹)	AVC TVC/Q (in ₹)
0	0	0/0 = 0
1	200	200/1 = 200
2	300	300/2 = 150
3	400	400/3 = 133
4	600	600/4 = 150
5	900	900/5 = 180

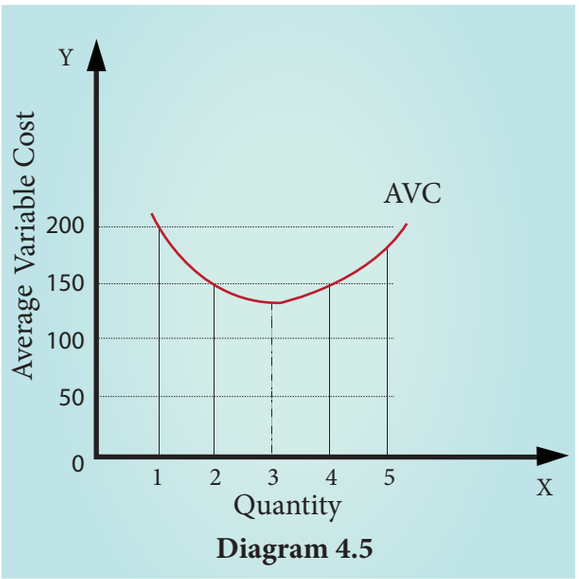


Diagram 4.5

It refers to the total variable cost per unit of output. It is obtained by dividing total variable cost (TVC) by the quantity of

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